

Week ending: 28th June 2021

Weekly Fixed Income Note

Key Highlight:

A total of KES **24.0 Billion** worth of T-bills were on offer during the week. The **91-day** T-bill was oversubscribed recording **267.71%**, while the **182-day** and **364-day** T-bills were undersubscribed recording **56.04%** and **90.38%** respectively. The CBK accepted KES **2.00B**, **5.56B** and **9.03B** respectively of the bids for the **91-day, 182-day,** and **364-day** T-bills on offer, accepting a total of **16.60B.**

The CBK opened a tap sale on two fixed bonds **FXD1/2019/20-(17yrs)** and **FXD1/2012/20-(11yrs)** offered on a **first-come-first-served basis** from **21/06/2021** to **01/07/2021,** in a bid to raise KES **50Bn.** The coupon rates for the bonds were **12.873%** and **12.00%** for **FXD1/2019/20** and **FXD1/2012/20** respectively.

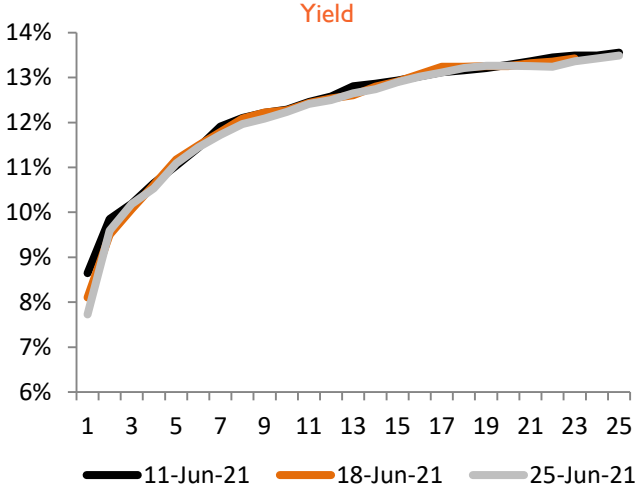
Key Indicators

	Current	Previous	% Change
91- Day	6.86%	7.00%	-0.14%
182-Day	7.32%	7.54%	-0.22%
364-Day	7.73%	8.11%	-0.38%
Interbank Rate	4.98%	4.42%	12.43%

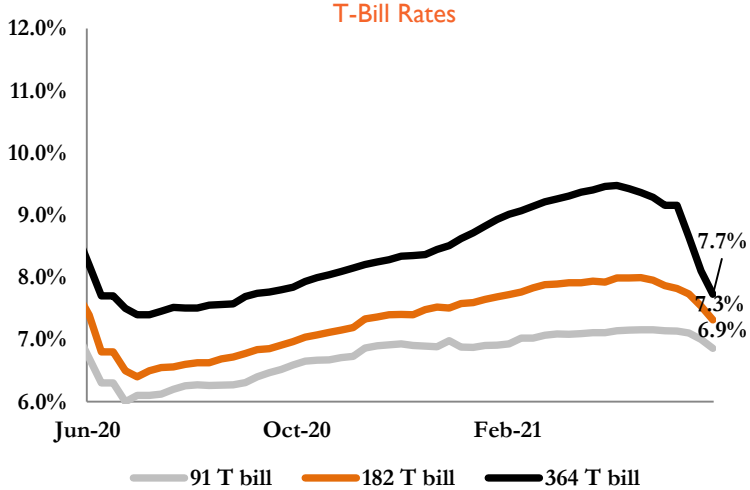
Macroeconomic data	Current	Previous
GDP (3Q20 vs. 3Q19)	-1.1%	5.8%
Inflation (May)	5.87%	5.76%
Private sector credit growth (March)	7.70%	9.70%
Money Supply (March)	10.10%	12.40%

Interest Rates

Yield



T-Bill Rates



MACROECONOMIC NEWS

Currency

The Kenya shilling gained ground against the greenback this past week appreciating by **0.04%** to trade at **KES 107.75.** The CBK's usable forex reserves currently stands at **USD 8,114 million (4.96** months of import cover**)** as at June 24th, a **8.56%** increase from **USD 7,474 million (4.57** months of import cover**)** as at June 17th.

Inflation

In May, headline inflation increased to **5.87%** from **5.76%** in April. This increase was driven by the higher food inflation. The CPI increased by **0.20%** from **114.75** in April to **114.98** in May. Meanwhile, the food and alcoholic beverages index increased by **0.32%** due to an increase in the prices of select food items. Headline inflation is likely to increase marginally on the back of higher food and fuel prices.

GDP growth

Growth receded by **-1.1%** in 3Q20 from **5.8%** in the corresponding period of 2019. The economic performance remained depressed due to the crisis caused by the pandemic. However, an improvement was observed compared to 2Q20. The quarterly improvement was majorly supported by growth in the agricultural sector that recorded **6.3%** growth compared to **5.0%** in 2019 and growth in construction by **16.2%** versus **6.6%** in 2019. Manufacturing, Electricity and Transportation sectors each recorded **3.2%, 4.7%** and **9.9%** growth respectively.

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